Westpac IQ Red Book (6 Nov) · CommBank Research (2 Nov)
HSC Economics news explainer · 10 November 2026

Consumers deeply pessimistic as job fears rise

Australian consumers are deeply pessimistic after five rate rises this year. More households now expect unemployment to rise, and bank economists are cutting their growth forecasts.

WHAT HAPPENED

- The Westpac–Melbourne Institute **consumer sentiment index** fell 4.2% over the three months to October, to **80.4**. That is among the 40 weakest readings since the survey began in 1973. Below 100 means pessimists outnumber optimists.
- The **unemployment expectations index** jumped 9.3% to 142.2, so more people expect unemployment to rise.
- The **mortgage rate expectations index** rose 5.5% to 179, just below its May peak of 181.
- The **house price expectations index** fell 2.4% to 115.6 after a 25% drop in the previous three months.
- CommBank now expects GDP growth to slow to **1%** by mid-2027 (previously 1.8%) and unemployment to peak at **5.1%** at the end of 2027, up from 4.7% now.

80.4
consumer sentiment index, October (100 = neutral)

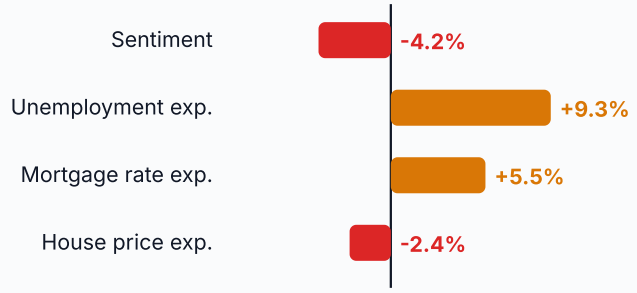
+9.3%
rise in the unemployment expectations index

5.1%
CommBank's forecast peak unemployment rate (end of 2027)

Consumer sentiment: how confident households feel about the economy and their finances
Aggregate demand (AD): total spending: C + I + G + (X − M)

BAR CHART

Change in Westpac–MI indices, three months to October



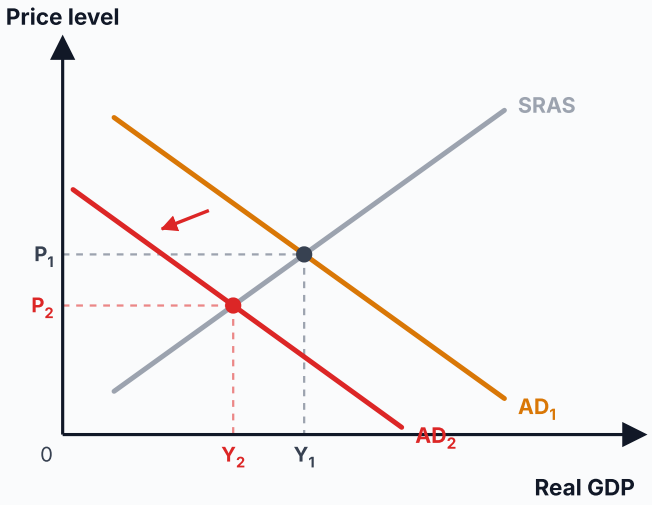
Confidence and house price expectations fell, while more people now expect **higher unemployment** and **higher mortgage rates**.

CommBank expects household spending growth to slow from 1.8% to 0.7% by mid-2027.

Exam angle: expectations can be self-fulfilling. If households fear job losses, they save more and spend less, which reduces aggregate demand and can lead to the job losses they feared.

DIAGRAM

Weaker confidence shifts aggregate demand left



Lower consumer confidence and higher interest rates reduce consumption, so AD shifts from **AD_1 to AD_2**.

The price level eases from **P_1 to P_2**, which helps bring inflation down, but real GDP falls from **Y_1 to Y_2** and unemployment rises.

SYLLABUS LINK

Topic 3: economic growth and unemployment; the role of consumer confidence and expectations in aggregate demand.

TRY THIS (6 MARKS)

Explain how a fall in consumer confidence could affect economic growth and unemployment in Australia. Use an AD/AS diagram.

Read more: Westpac IQ, The Red Book October 2026 · CommBank Newsroom, 2 Nov

Diagrams are illustrative, not to scale